

# Tech by The Information — Weekly Deep Dive

AI & Tech news that matters for investors · Plain-English edition

Week of July 20–27, 2026 · Published July 27, 2026

*All company figures below are as reported by The Information and its sources. This report is an original synthesis written for a general audience; it does not reproduce the original articles.*

## 30-Second Summary

This was the week the **plumbing behind the AI boom took center stage** — and it turns out that plumbing is held together by a staggering amount of borrowed money and financial engineering. Goldman Sachs' infrastructure-finance chief told The Information the industry needs to raise roughly **\$7.5 trillion over the next five years** for chips, data centers and power — a sum so large that building the entire U.S. interstate highway system (\$600 billion) looks like pocket change. More than **\$1 trillion** has already been raised this year alone, versus about \$555 billion in all of 2025. But cracks are showing: after Nvidia, SpaceX and Amazon each sold **\$25 billion** of bonds within weeks of each other, the bond market started showing “digestion issues,” and the price of that debt slipped.

Meanwhile, a jaw-dropping disclosure revealed how one giant is quietly de-risking itself: **Google** has agreed to backstop as much as **\$44 billion** of other companies' data-center leases — up from \$6.5 billion just nine months ago — as a clever way to sell more of its home-grown AI chips. And the week teed up a marquee event: **Big Tech's earnings** (Meta, Microsoft, Amazon and Apple all report in the days ahead), the first real test of whether Wall Street's new “prove the payoff” mood — which hammered Google last week — spreads to the rest.

Two more threads sharpened. The U.S. government is now **formally investigating** whether China's **Moonshot** stole American AI and smuggled Nvidia chips — even as most of Silicon Valley signed letters begging Washington not to restrict the cheap Chinese models it relies on. And the deal machine roared: cash-rich **Stripe** is chasing a **~\$10 billion** takeover of AI “switchboard” **OpenRouter** and a **\$53 billion** bid for **PayPal**, while a long line of startups — led by **Anthropic** (IPO possible in September) — waits to go public. For investors, the throughline is unchanged but louder: **AI demand is exploding, the cost of feeding it is exploding faster, and the market has finally started asking who ultimately pays.**

## A 60-Second Jargon Guide

- **Capex (capital expenditure):** Big upfront spending on physical things — here, mostly data centers, AI chips and power. Cash out the door today for a payoff years later, which is why investors watch it nervously.
- **Free cash flow (FCF):** The spare cash left after running the business and paying for capex. When capex balloons, free cash flow shrinks — or goes negative (“burning cash”).
- **Investment-grade vs. high-yield bonds:** Two tiers of corporate IOUs. Investment-grade = lent to safe, blue-chip borrowers at low interest. High-yield (“junk”) = lent to riskier borrowers who must pay more. Data-center builders now tap both.

- **Credit spread:** The extra interest a borrower pays above a super-safe benchmark. When spreads “widen,” lenders are demanding more to take the risk — a sign of nerves.
- **Backstop / guarantee:** A promise to cover someone else's payments if they can't. Lenders feel safer, but the guarantor is now on the hook if the borrower fails.
- **Off-balance-sheet:** An obligation that appears only in the footnotes, not as headline debt — making a company look less indebted than it truly is.
- **Notional vs. fair value:** Notional = the biggest amount you could theoretically owe (worst case). Fair value = the smaller amount you realistically expect to pay.
- **Multiple (P/E, “x earnings”):** How many years of profit investors pay for a stock. A stock at “17x earnings” costs 17 times one year's profit. Lower can mean “cheap” — or expected trouble.
- **ARR (annual recurring revenue):** Current monthly subscription revenue multiplied out to a year. A company “at \$700 million ARR” is running at that yearly pace now.
- **Token / inference:** A token is the basic unit of AI usage (roughly a word); AI is billed by the token. Inference is the everyday act of using a trained AI, as opposed to training it.
- **AI agent:** Software that doesn't just answer but does a multi-step task on its own. More capable, but it burns far more tokens, so it costs more to run.
- **Open-source / open-weight model:** An AI whose inner “recipe” (its weights) is published free to download and modify. The opposite is a closed model you can only rent through its maker.
- **Distillation:** Training a cheaper new AI by having it copy a more expensive one's answers — like a student memorizing the smartest pupil's homework.
- **Entity list:** A U.S. blacklist restricting how a foreign company can buy American technology. Being added scares off customers wary of legal risk.
- **Hyperscaler / neocloud:** A hyperscaler is a giant cloud landlord (Google, Amazon, Microsoft). A neocloud is a newer, smaller company (often a former crypto miner) renting out AI computing power.

## 1. Earnings Week Ahead: Big Tech's “Prove It” Moment Goes Broad

**What happened:** Last week Wall Street sent a warning shot — it sold off **Alphabet** (Google's parent) even after blockbuster results, because the company kept raising its AI spending. This week we find out whether that “prove the payoff” mood spreads. **Meta, Microsoft, Amazon and Apple** all report earnings in the days ahead (Meta and Microsoft on Wednesday; Amazon and Apple on Thursday), with payments firm **PayPal** on Tuesday. Two of the giants enter under a cloud: as of Friday, **Meta shares were down 9.8%** for the year and **Microsoft down 21%**, both lagging peers. Meta is out of favor for spending enormous sums on AI “with no clear way of getting a return,” while Microsoft investors worry AI could erode its giant software franchise.

**The setup, company by company:** Analysts expect **Meta** revenue of about **\$60.3 billion** (+27%); investors want to know if Mark Zuckerberg will start renting out Meta's spare computing power for extra income — a move its recent hire of a top Amazon cloud executive hints at. **Microsoft** is seen

at **\$87.7 billion** revenue (+15%); the key numbers are the growth rate of its **Azure** cloud (near 40%) and how many businesses pay for **Microsoft 365 Copilot**. **Amazon** (~**\$196 billion**, +17%) faces the starkest math: its planned **\$200 billion** of capex this year is more than the **\$185 billion** of cash its operations are expected to generate — so it must dip into savings. **Apple** is the outlier and the year's standout (stock **+23%**): it spends little on AI and its iPhone is selling well again, but soaring **memory-chip prices** are forcing hardware price hikes, with iPhone increases expected this fall.

**Why last week matters here:** Google's report set the tone. Its cloud business grew a stunning **82%** in three months, yet the stock fell because Alphabet burned cash for the first time as a public company — capex of ~\$45 billion outran ~\$39 billion of operating cash — and it lifted 2026 capex guidance to **\$195–205 billion**, the second increase in two quarters. A company that used to mint \$60–70 billion of spare cash a year may generate as little as **\$7 billion** this year.

#### What it means for investors (and why)

The risk this week is asymmetric: the mega-spenders can fall on good results if their capex outlook spooks people. Watch two things. First, any hint of a **spending ceiling** — if Microsoft, Meta or Amazon signals capex is peaking, their stocks could jump; if they raise it again like Google, expect more pain. Second, the **quality of the payoff** — Azure's growth rate and Copilot subscriber counts are the clearest “is the AI money actually coming back?” signals. Apple is the hedge in this group: minimal AI spending, strong iPhone demand, but a fresh margin threat from memory-chip inflation. The lesson from Google's drop: in this phase, cash flow and discipline — not just growth — move these stocks.

## 2. The \$7.5 Trillion Question: How the AI Buildout Actually Gets Paid For

**What happened:** In a rare on-the-record discussion convened by The Information, senior financiers from **Goldman Sachs**, **Blue Owl** and law firm **Skadden Arps** laid out how much money the AI buildout needs — and how creative Wall Street is getting to supply it. Goldman's global head of infrastructure finance, **John Greenwood**, said the firm's research projects roughly **\$7.5 trillion** deployed over the next five years across computing, data centers and power — about **140 gigawatts** of capacity. For scale: the U.S. interstate highway system cost about **\$600 billion** over 37 years; the railroads, **\$550 billion** over 71 years. This is ten times that, in five. And because the AI chips inside wear out roughly every five years, the spending never really stops.

**The plain-English version:** Traditionally a data center was financed by a couple of banks writing a loan. But the projects have exploded from hundreds of millions to tens of billions of dollars each, blowing past what banks will lend to any single borrower. So the industry turned to bond markets — including risky “**construction bonds**” that fund a building before it exists, backed mainly by the long-term lease of the big tenant who'll occupy it. The money has poured in: more than **\$1 trillion** raised year-to-date across the AI buildout, versus about **\$555 billion in all of 2025**. High-yield issuance jumped from **\$14 billion** in all of last year to over **\$30 billion** already this year; investment-grade issuance topped **\$240 billion**. Astonishingly, data-center and related “digital infrastructure” debt now makes up **40%** of the entire long-term investment-grade bond market this year.

**Where the strain is showing:** After **Nvidia, SpaceX and Amazon** each sold **\$25 billion** of bonds within weeks of one another, investors got indigestion. Credit spreads on hyperscaler debt widened **20–40 basis points**, order books shrank, and buyers began demanding higher yields. But the panelists insisted the real bottleneck isn't money — it's "**concrete.**" Power and permitting, not capital, are holding projects up: gas turbines and electricians are scarce, and a political backlash is spreading, with **ballot measures in 30-plus states** and a **full data-center moratorium in New York** last week. As Greenwood put it, power is only about **10% of the cost but 100% of the constraint** on timing.

#### What it means for investors (and why)

This is the week's most important theme because it reframes the whole AI trade as a financing story. Three takeaways. First, the AI boom is increasingly **debt-fueled** — fine while markets are eager, but those early "digestion issues" are the canary; if bond investors keep pulling back, the cost of building AI rises for everyone and the pace could slow. Second, the constraint has shifted from chips to **power and permitting**, making electricity infrastructure (utilities, turbine/grid-equipment makers, cooling) arguably the more durable long-term play. Third, the safest exposure the financiers flagged is **diversified** — you don't have to bet on which AI lab wins, because the data centers get leased to blue-chip tenants across the board. The flashing yellow light: when a single asset class balloons to 40% of the bond market in a year, concentration risk is building quietly beneath a calm surface.

### 3. Google's \$44 Billion Backstop: Financial Engineering to Sell More Chips

**What happened:** A single line in Google's filings revealed how far the AI arms race has pushed even the most cash-rich company into Wall Street-style financial engineering. **Alphabet** has agreed to backstop as much as **\$44 billion** of lease payments on data centers owned by other companies — promising to cover the rent if the tenant defaults. That figure has **ballooned from \$6.5 billion** just nine months earlier. Crucially, the \$44 billion sits **off Google's balance sheet** (disclosed only in the footnotes); the balance sheet shows a far smaller **\$815 million** — Google's estimate of what it will realistically have to pay.

**Who they are & why they'd do this:** Google makes its own AI chip, the **TPU** ("tensor processing unit"), a rival to Nvidia's GPUs. To sell more of them, Google is placing TPUs in data centers run by outside operators — often **former crypto miners like Hut 8 and TeraWulf** that pivoted to AI. In many deals a startup called **Fluidstack** leases and operates the building, fills it with Google's chips, and rents the capacity to **Anthropic**. By guaranteeing the leases, Google lets these smaller, unproven operators borrow cheaply and build faster — betting the TPU sales more than outweigh the risk. It has backstopped about **2.4 gigawatts** across roughly **10 projects** (none finished yet). Ratings agency **Fitch** says it relies "very heavily" on Google's backstop to give these projects an investable rating.

**The bigger picture:** This is part of a wholesale change in Alphabet's finances. Its debt has jumped to **\$98 billion** (from \$23.6 billion a year earlier), and it issued stock for the first time in over two decades. Google also often collects **equity warrants** — rights to potentially own **14% of TeraWulf** and **5.4% of Cipher Digital** — so it shares the upside if these developers thrive. It isn't alone: **Meta**

uses joint ventures to keep data centers off its books, and **Oracle** relies on similar structures. On top of the backstops, Alphabet has **\$85.2 billion** of leases that haven't started yet and another **\$24.1 billion** of future backstops in the pipeline. Reassuringly, Google still generated over **\$185 billion** in operating cash over the past year.

#### What it means for investors (and why)

The optimistic read: this is smart, low-risk business — Google uses its pristine credit to pump-prime chip sales and grab equity upside while keeping the worst-case off its headline debt. The cautious read: it's exactly the kind of **off-balance-sheet interconnection** that makes a boom harder to assess from outside, because the real exposure hides in footnotes and assumes tenants like Anthropic keep paying. Two practical points. First, credit ratings on a wave of new data-center bonds now lean heavily on **Big Tech guarantees** — if a giant's finances weaken, that support (and those ratings) could wobble. Second, the AI economy is becoming a **web of mutual dependencies** — chipmakers, clouds, neoclouds and labs propping each other up — which amplifies gains on the way up and risks on the way down. Watch how fast these “notional” backstop figures grow in coming quarters.

## 4. Nvidia's Strange Discount: The Cheapest It's Been in Years

**What happened:** Here's a paradox. **Nvidia's** revenue is expected to rise **83% this year**, yet its stock is up just **10%** in 2026 — while rival **AMD** is up **142%** and memory-chip maker **Micron** is up **213%**. As a result, Nvidia now trades at roughly **17 times** next year's expected earnings, near its cheapest level since July 2021 and well below its five-year average of **36 times**. AMD, by contrast, trades at a rich **53 times**. The Information's columnist argued the stock is “priced as though everything that could go wrong in the next couple of years will go wrong” — which, given the numbers, “makes no sense.”

**The plain-English version:** A low “multiple” can mean a stock is cheap — or that investors expect its growth to stall. The bear case is real: nearly everyone is trying to reduce dependence on Nvidia. **Google and Amazon** now sell their own AI chips; **Meta, Microsoft, OpenAI and Anthropic** are developing theirs; startups like **Cerebras** and **Groq** are nibbling; and **AMD** ships its first full “rack” system (**Helios**) later this year. Plus, at Nvidia's size, fast growth is simply harder. But the bull case is that the fear is overdone: **Morningstar** pegs fair value near **\$280** (versus ~\$212 now), expecting Nvidia to keep growing earnings **45%+ a year** through early 2029, with revenue rising **42%** next fiscal year to **\$560 billion**. And there's a twist: if the AI boom ever cools, the many newcomers to chipmaking might give up and stick with Nvidia — so a bust could hurt Nvidia less than its unproven rivals. Its share of the **inference** market (running AI, not training it) has actually been rising.

#### What it means for investors (and why)

Nvidia remains the single clearest way to “own” the AI boom — it collects a toll on nearly every AI dollar spent — and its unusually low valuation means expectations have reset far below its growth rate, which some see as opportunity. But the market's message is a warning too: investors are treating Nvidia as a **maturing** company, not a rocket, and chasing “the next thing” (AMD, Micron). The honest read is a barbell. If hyperscaler spending holds (Google just raised capex again), Nvidia looks cheap; if the capex backlash forces even one giant to pull back — or



AMD's Helios genuinely lands — the whole chip complex re-rates. Even the boom's biggest winner is no longer a one-way bet.

## 5. The China Reckoning: Moonshot, “Distillation,” and the Entity-List Threat

**What happened:** China's AI labs keep releasing high-quality models for free, and Washington is now fighting over what to do about it — with real teeth. The U.S. **Commerce Department's Bureau of Industry and Security (BIS)** confirmed it is formally investigating whether Chinese firms — notably **Moonshot**, which just released a well-reviewed open model called **Kimi K3** — improperly obtained advanced U.S. chips and copied American AI. A top White House official, **Michael Kratsios**, claimed on X that the government has evidence Moonshot trained Kimi K3 by “distilling” an Anthropic model and used **Nvidia chips smuggled through Thailand**. Treasury Secretary **Scott Bessent** said “sanctions and entity list designations will be on the table.” The potential penalty — adding Moonshot to the U.S. **entity list** — would restrict its access to American technology and scare off U.S. customers.

**The plain-English version:** Distillation means teaching a cheap new AI by having it copy a top-tier one's answers — a student memorizing the smartest kid's homework. It lets you build a near-equal model for a fraction of the cost, and it's exactly what U.S. labs fear is being done to them. But here's what makes this a genuine brawl rather than a slam dunk: most of Silicon Valley wants the cheap Chinese models to stay legal. On Friday, **Meta, Nvidia, Microsoft** and venture firm **Andreessen Horowitz** — along with startups like Hugging Face — signed a joint letter defending open-source AI. Separately, **179 founders** including Y Combinator urged the administration not to block foreign open models. **Nvidia's Jensen Huang** called the Chinese models “excellent” and dismissed fears of hidden “backdoors”; **Elon Musk** agreed. Big U.S. firms — **Airbnb, Coinbase, Databricks, Cursor** — already use Chinese models because they're cheaper and easier to customize, and even **Microsoft** was recently looking to use Kimi K3 in Copilot. On the other side stand **Anthropic** (which calls distillation “industrial espionage”) and **OpenAI** — neither signed the pro-open-source letter, nor did Google or Amazon.

**Why it's messy:** Even the administration is divided — one official noted Kratsios made his accusation before Commerce had shared its findings. A **U.S.–China meeting on AI is expected in September**, and China has reportedly discussed retaliating by restricting foreign access to its best models. History suggests friction: past entity-list additions (Huawei, chipmaker SMIC) sparked Chinese pushback.

### What it means for investors (and why)

This is a policy risk that cuts several ways. **Nvidia** has the most obvious exposure — tighter chip-export enforcement, or Chinese retaliation, threatens real sales, which is why Huang is lobbying so publicly. **Anthropic and OpenAI** could benefit if cheap Chinese rivals get blacklisted, but they still face a world where “good enough” free models keep dragging prices down. The deeper signal: the **cost of using AI is falling fast**, partly because of these Chinese open models — great for the many companies that use AI, a headwind for anyone betting that selling raw AI access stays hugely profitable. Watch two triggers: an actual **entity-list**

**designation** for Moonshot, or a flare-up around the **September U.S.–China talks** — either would jolt Nvidia and the broader chip trade first and fastest.

## 6. Deal Mania: Stripe's Cash Machine Goes Shopping

**What happened:** The AI boom is minting cash for the companies that handle its payments — and the biggest is going on a spree. **Stripe**, the private payments giant that processes transactions for AI labs like OpenAI and Anthropic, grew revenue by a third to **\$6.8 billion** last year and saw free cash flow surge **52% to \$3.2 billion**. Flush with cash, Stripe is in talks to buy **OpenRouter**, a startup that routes app developers to the best or cheapest AI model, for close to **\$10 billion** (Databricks was also circling). Separately, Stripe — with private-equity partner **Advent International** — has reportedly bid **\$53 billion** for **PayPal**, the owner of Venmo.

**Who they are & why it's clever:** OpenRouter is essentially a **switchboard for AI** — instead of wiring your app to OpenAI, Anthropic and Google one by one, you connect to OpenRouter and it sends each request to whichever model fits best, taking a fee of **up to 5.5%** on top. It was valued at just **\$1.3 billion** earlier this year, so a ~\$10 billion price tag shows how badly big players want the toll booth between apps and AI models. For Stripe, the logic is that as AI usage explodes, whoever controls the billing and routing plumbing collects a slice of everything — Stripe has already built its own “AI Gateway” and bought usage-billing startup Metronome (~\$1 billion) and stablecoin firm Bridge (\$1.1 billion). The **PayPal bid** is a different bet: buying **Venmo's** tens of millions of consumers to reduce Stripe's reliance on expensive credit-card networks. Stripe was last valued at **\$159 billion**.

**The wider wave:** Deal-making is everywhere. **AMD** said it will invest “up to \$5 billion” in **Anthropic**; robotics startup **Atoms** (led by Uber co-founder Travis Kalanick) raised **\$1.7 billion** from Andreessen Horowitz; AI-coding firm **Cognition** is buying the maker of the “Poke” assistant for a “low nine figures”; and defense-AI startup **Cathedral** raised **\$160 million**.

### What it means for investors (and why)

Two signals. First, the **“toll-booth” business models** — payments, model-routing, billing infrastructure — are quietly among the best ways to profit from AI without betting on which chatbot wins; they get paid no matter whose model customers use. That's why a router valued at \$1.3 billion in spring can command ~\$10 billion by summer. Second, the M&A surge shows private tech is **cash-rich and confident** — healthy for venture investors, but a flashing yellow light on valuations, since a 7-to-8x markup in a few months is the kind of thing seen near a cycle's peak. The clearest public-market read: watch **PayPal's Q2 earnings on Tuesday, July 28** — a live \$53 billion bid reframes how the entire payments sector is valued, and PayPal's silence could mean it's holding out for more.

## 7. The IPO Logjam: Everyone Waits on Anthropic

**What happened:** After a long drought, the door to the public markets is creaking open — and one company holds the key. **Anthropic** (maker of the Claude AI) could go public **as soon as**

**September**, and big mutual funds are meeting with it over the coming days. This week it emerged that Anthropic is weighing an **unusual IPO structure** — requiring even rank-and-file employees (not just executives) to sell shares on rigid, pre-set schedules. Right behind it, **AlphaSense** — which sells AI-powered search and research tools to banks and companies — is working with advisers on an IPO “in the coming months,” having just crossed **\$700 million in annual recurring revenue** (up **40%** in a year).

**The plain-English version:** No startup wants to launch its IPO at the same moment as Anthropic and fight for attention — so many watch Anthropic’s debut as the “is the water safe?” signal. If it goes well, bankers expect a wave of listings. The Information’s IPO tracker names the queue: chat app **Discord** and fitness app **Strava** (both argue their consumer businesses are “AI-proof”), design tool **Canva** (eyeing 2027), e-commerce marketplace **Faire**, corporate-card startup **Ramp** (valued at **\$44 billion**), web-hosting firm **Vercel** (\$9.3 billion), prediction-market startup **Kalshi**, and security-camera maker **Verkada** (Nvidia-backed, growing 30% a year). AlphaSense, for context, works like a **specialized Google for finance professionals**, searching earnings calls, filings and licensed Wall Street research — the kind of proprietary data the big AI labs can’t easily copy.

#### What it means for investors (and why)

A reopening IPO window is a big deal for the whole ecosystem — it lets venture funds cash out, recycles money into new startups, and gives ordinary investors a chance to buy fast-growing AI-era names directly. But treat **Anthropic’s listing as the starting gun**, not a guarantee: if it stumbles, the queue stays parked. Judge each follower on one question — what does it own that the model makers can’t recreate? Safer bets have **proprietary data, regulated workflows, or real distribution** (AlphaSense’s licensed research, Ramp’s customer base); risky ones are “thin-wrapper” startups that merely repackage someone else’s AI. Note the unusual employee-selling plan — it hints Anthropic is trying to prevent a flood of insider shares from tanking the stock after listing, a detail that could matter for anyone buying early.

## 8. The Agent Land Grab: Sierra Buys “Takeoff,” and Voice AI Heats Up

**What happened:** Beneath the headline dollars, a strategic reshuffle is underway around **AI “agents”** — software that performs multi-step tasks on its own. **Sierra**, the AI customer-service company led by former Salesforce executive **Bret Taylor**, acquired a tiny three-person startup called **Takeoff**, which builds agents that can work autonomously for hours or even days on complex jobs like helping someone refinance a mortgage. Takeoff was barely a year old and nearing **\$10 million** in annualized revenue. The logic: Sierra wants to expand beyond cost-cutting support bots into **revenue-generating** tasks — what Taylor calls “long-horizon” work. The two are building a product called **Horizon**.

**The competitive twist & voice AI:** The land grab is crowded and a little incestuous. Taylor is **chairman of OpenAI** — which on Wednesday launched **Presence**, a product that competes directly with his own company, Sierra. Meanwhile, a parallel race is heating up in **AI voice**. Startup **Boson AI**, founded by two former Amazon scientists, already earns tens of millions selling voice models to telecom and insurance companies and is launching a real-time model (**Higgs RealTime**) to challenge OpenAI’s voice technology. Building natural-sounding voice AI is hard: the model must



pause when interrupted, handle accents and background noise, and avoid mistakes with real customers. One quirky use case a Boson customer is exploring — cloning the CEO's voice to host internal all-hands meetings when the boss can't attend.

**The cost-cutting undercurrent:** Two instincts are shaping the market, both about money. Companies want to **spend less per task** (hence the boom in cheap-model “routers” like OpenRouter), and the big labs keep expanding into everyone else's territory — which makes narrower “vertical AI” startups nervous. The same week, **Amazon cut staff** from its in-house AI-models team, saying it's “sharpening our focus”; **IBM** trimmed its revenue outlook after failing to close big deals; and **Monday.com** announced it will cut **20%** of its workforce to run “leaner” while investing in AI.

#### What it means for investors (and why)

The center of gravity in AI is shifting from “whose model is smartest” to “who can do the job cheapest and most reliably.” That favors **orchestration and routing businesses** (why OpenRouter fetched ~\$10 billion) and enterprises that use AI, whose costs are falling — but it squeezes single-model “wrapper” startups with no unique data or workflow lock-in. The Sierra-Takeoff deal shows even well-funded players are buying scarce talent to move up the value chain into revenue-generating work. For public-market investors: favor companies that own a **proprietary dataset, a regulated workflow, or a distribution advantage** the labs can't copy; be wary of anyone whose only asset is access to someone else's model. And read the Amazon/IBM/Monday.com moves as the same “prove it” discipline that hit Google — even the giants now prioritize payoff over prestige.

## Investor Scorecard

| Where opportunity looks strongest                                                                                                                                                  | What could go wrong                                                                                                                                                           | Catalysts in the next 1–2 weeks                                                                                        |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------|
| The power & infrastructure trade: utilities, turbine/grid-equipment and cooling suppliers near data-center demand — the financiers say power, not capital, is the real bottleneck. | Capex fatigue: Wall Street's mood has flipped to “prove the return.” Heavy spenders (Meta, Amazon, Microsoft) can now fall on good results if their outlook scares investors. | Big Tech earnings: Meta & Microsoft (Wed), Amazon & Apple (Thu) — capex guidance sets the tone for the whole AI trade. |
| Toll-booth models: payments, model-routing and billing plumbing (Stripe, OpenRouter-style gateways) get paid regardless of which model wins.                                       | Bond-market indigestion: early “digestion issues” after \$25B mega-deals hint the debt-fueled buildout could get pricier or slower if lenders keep pulling back.              | PayPal Q2 earnings (Jul 28): a live \$53B Stripe/Advent bid could reprice the whole payments sector.                   |
| Nvidia at a rare discount: ~17x earnings despite ~83% revenue growth — expectations have reset far below the growth rate.                                                          | China/policy shock: a Moonshot entity-list designation or Chinese retaliation would jolt Nvidia and the chip complex first.                                                   | China AI: possible BIS decision on Moonshot; U.S.–China AI talks flagged for September.                                |
| Proprietary-data software: vertical-AI firms with data or workflows the big labs can't copy (e.g.,                                                                                 | Vertical-AI squeeze: falling AI prices plus expanding giants threaten “thin-wrapper” startups with no                                                                         | IPO window: Anthropic's possible September listing is the starting gun; AlphaSense and others are                      |

| Where opportunity looks strongest                                                                                  | What could go wrong                                                                                                                                                                | Catalysts in the next 1–2 weeks                                                                                                   |
|--------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------|
| AlphaSense's licensed research).                                                                                   | unique moat.                                                                                                                                                                       | queued behind it.                                                                                                                 |
| The reopening M&A/IPO window: liquidity for late-stage names and a signal of confidence in cash-rich private tech. | Late-cycle valuations & hidden leverage: a router worth \$1.3B in spring fetching ~\$10B by summer — and \$44B of off-balance-sheet Google backstops — are things seen near a top. | Off-balance-sheet disclosures: watch how fast Google's (and peers') backstop and yet-to-commence-lease figures grow next quarter. |

## Bottom Line

The week's defining lesson is that the AI boom is now, unmistakably, a **financing story**. Behind every gleaming data center sits a \$7.5-trillion capital plan, a stack of construction bonds, and — in Google's case — \$44 billion of guarantees tucked into the footnotes. Demand is not the question: Google's cloud grew 82% and Nvidia's revenue is set to rise 83%. The questions are how long the debt markets stay hungry, when the mega-spenders show a payoff, and who is quietly on the hook if a link in the chain breaks. In that environment, the market is rewarding the sellers of scarce inputs (chips, power, payment and routing plumbing) and owners of hard-to-copy data, while demanding discipline from the giant spenders and the thin-margin startups riding their models. Expect the “prove it” mood to dominate the coming fortnight of Big Tech earnings.

## Source Appendix

*All headlines from The Information, week of July 20–27, 2026. Figures are as reported by The Information and its sources.*

1. “What to Expect From Big Tech's Earnings This Week” — Martin Peers, Jul 26, 2026 — <https://www.theinformation.com/newsletters/the-briefing/expect-big-techs-earnings-week>
2. “AI Financing Gets Creative” — The Information Staff, Jul 26, 2026 — <https://www.theinformation.com/articles/ai-financing-gets-creative>
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